

Customer Retention & Segmentation Strategy

Retail Marketing Playbook — RFM-Based Segmentation, Churn Reduction, and Campaign Design

1. Overview

This document sets out the retention and campaign strategy for our online retail business, based on RFM (Recency, Frequency, Monetary) segmentation of the active customer base. The analysis covers 4,338 unique customers derived from transaction history spanning December 2010 to December 2011. Each customer has been scored on three dimensions — how recently they purchased, how often they purchase, and how much they spend — and grouped into eight actionable segments. This strategy translates those segments into concrete marketing actions, churn-risk interventions, and campaign priorities.

2. Segmentation Methodology

Each customer receives a score from 1 (lowest) to 5 (highest) on Recency, Frequency, and Monetary value using quintile ranking against the full customer base. Recency scoring is reversed so that a score of 5 means the customer purchased most recently. The three scores combine into a segment label and an overall churn-risk rating of Low, Medium, or High.

Segment	Typical Profile	Customer Count
Champions	Bought recently, buy often, spend the most	962
Potential Loyalist	Recent customers with average frequency	858
Hibernating	Long inactive, low frequency and spend	824
Loyal Customers	Buy fairly often and recently	491
At Risk	Used to purchase often, haven't returned recently	442
Needs Attention	Below-average recency, frequency, and monetary value	417
New Customers	Bought recently but with low frequency so far	319
Cannot Lose Them	High spenders who have gone quiet	25

Churn-risk distribution across the base: 1,772 customers (40.8%) are Low risk, 1,501 (34.6%) are Medium risk, and 1,065 (24.6%) are High risk. High risk is assigned when both recency and frequency scores fall in the bottom two quintiles — these customers have gone quiet and rarely purchased even when active.

3. Segment-Level Strategy

Champions

Protect this group above all else — they drive a disproportionate share of revenue. Prioritize early access to new products, loyalty-tier perks, and personal outreach rather than discounting, which erodes margin on customers who would have bought anyway.

Loyal Customers

Use cross-sell and upsell campaigns based on purchase history. Introduce a referral incentive — this segment is the most likely to convert friends and family.

Potential Loyalist

Nurture with a short onboarding-style email sequence that reinforces value and encourages a second and third purchase within 60 days, since frequency is the main lever separating this group from Loyal Customers.

New Customers

Focus on a strong first 90 days: welcome series, product education, and a time-limited incentive for a second purchase. The goal is to move them into Potential Loyalist before recency naturally decays.

Needs Attention

Run a re-engagement campaign with moderate personalization — these customers have some history but no clear trend. A short survey paired with a modest incentive can reveal whether the drop-off is price, assortment, or service related.

At Risk

These were previously frequent buyers who have gone quiet. Deploy a win-back campaign with a meaningful (not token) incentive, referencing specific products they bought before. Time sensitivity matters — the longer the gap, the lower the win-back rate.

Cannot Lose Them

Small in number but high value — handle individually rather than through automated campaigns. Direct account-manager outreach or a personal call is justified given the revenue concentration in this group.

Hibernating

Lowest priority for paid campaign spend. Use low-cost channels (email only) with a final win-back offer; if there is no response, suppress from active marketing to protect sender reputation and campaign ROI.

4. Churn Reduction Plan

Churn risk is treated as a leading indicator, not a lagging one — customers move into High risk before they fully disengage, which gives a window for intervention. The recommended cadence is as follows:

Risk Level	Trigger	Recommended Action	Channel
Low	R and F scores both 4-5	Standard lifecycle marketing	Email, app
Medium	Recency score of 3	Proactive engagement content, no discount needed	Email
High	R and F scores both 1-2	Win-back offer + direct outreach for high monetary value	Email, SMS, phone

For High-risk customers with Monetary scores of 4 or 5 (i.e. the Cannot Lose Them segment), escalate beyond automated email to a direct, human-led win-back conversation. The cost of manual outreach is justified because these customers historically generated well above the median revenue per customer.

5. Campaign Priorities by Quarter

Q1: Launch win-back campaign targeting the At Risk and Cannot Lose Them segments, coinciding with post-holiday re-engagement windows. Q2: Referral program rollout for Champions and Loyal Customers. Q3: New Customer onboarding sequence refresh, focused on shortening time-to-second-purchase. Q4: Loyalty rewards push for Champions ahead of the holiday season, plus a final Hibernating segment sweep before year-end list cleanup.

6. Measurement

Track RFM segment migration month over month as the primary success metric — the goal is positive migration (e.g. At Risk to Loyal Customers) rather than raw revenue alone, since revenue can mask a shrinking active base. Secondary metrics: win-back conversion rate for High-risk customers, time-to-second-purchase for New Customers, and referral rate among Champions and Loyal Customers.